

These will come in waves. Let me think through them the way an analyst actually would — starting with the sharp ones that could really put you on the spot.

The hardest questions first

"Your model says 1,860 Zudio stores. Management guided 5,000 at the AGM. That's a 2.7x gap. Who's right?"

This will almost certainly be asked. Your answer: your model is conservative by design — it uses today's MPCE with zero income growth assumed and excludes T4+ entirely on supply chain grounds. Management's 5,000 likely includes T4+ as incomes rise, future cities that don't yet cross the viability threshold, and possible smaller store formats. The two numbers are answering different questions — yours is what's viable today, theirs is what's possible over a longer horizon.

"FY25 net store additions were 1,571. FY26 dropped to 1,320. The pace is already slowing. Does that invalidate the whole tailwind argument?"

Strong challenge. Your answer: a single year of lower net additions doesn't break a structural story — it could reflect base effects, a digestion year, or closures outpacing openings in certain pockets. The more important number is the share of additions going to value fashion, which went from 33% in FY25 to 43% in FY26. The mix is actually improving even if the headline number dipped.

"Zudio is 60% Metro and T1 right now. You're saying the opportunity is in T2/T3. So isn't Zudio currently misallocating capital?"

This is an honest read of your own table and you should own it. Yes, Zudio is more Metro-heavy than its peers. That's precisely what makes this interesting — the T3 runway is ahead of them, not behind them. The question for investors is whether management realigns. Their AGM guidance suggests they intend to.

"You're using MPCE survey data as your demand base. Everyone in this room knows MPCE massively undercounts real spending, especially at the top. How does that affect your numbers?"

This is a methodology trap. Acknowledge it directly — MPCE surveys do undercount, particularly for upper-income households. If anything, it means your wallet estimates for Metro and T1 are conservative. For T2/T3, the undercounting may be less severe because spending there is more basic and less discretionary. Your numbers are likely a floor, not a ceiling.

Competitive threats

"Meesho and Myntra are already in T2/T3 at scale. Why do physical stores win in these cities? The ecommerce answer seems obvious."

This is a good question. Online fashion penetration is lower in T2/T3 for a few reasons — sizing and fit uncertainty, lower digital payment adoption historically, and the experience of trying on clothes. But more importantly, your model already removes ecommerce from the organised EBO calculation — you've separated the two channels. The question is whether EBO organised retail specifically has room to grow, not whether T2/T3 is a closed market.

"Reliance Retail has Trends stores, 2,000+ locations, massive distribution. Why isn't Reliance the answer to T2/T3, not Zudio?"

Good challenge. Reliance Trends is a department store format with higher price points — it's closer to mid-market than value fashion. Zudio's format and price point are genuinely different. Also, Reliance's store economics are different — they often anchor in malls or large format spaces that don't exist in many T3 cities. Zudio's smaller footprint and value positioning make it more flexible.

"V-Mart has been doing T2/T3 for 20 years. If the opportunity is so obvious, why haven't they already captured it?"

Your table actually answers this — V-Mart earns \$0.56M per store versus Zudio's \$1.34M. V-Mart has presence but not productivity. Being there and winning there are different things. Zudio's revenue per store advantage suggests the brand and format are more compelling to the consumer even in the same geography.

Methodology challenges

"What's the basis for your EBO saturation assumptions — 65-70% for Metro, 30-35% for T3? Where did those numbers come from?"

Be honest here. If they came from a benchmark of mature markets or comparable categories, say so. If they're judgment calls anchored on Metro's current organised share (~48%) and a view on where it can go, say that. Analysts respect intellectual honesty much more than a fabricated precision.

"Your T3 penetration is 32%. But how are you defining the denominator — viable pincodes only, or all T3 pincodes?"

Know this cold. Your denominator matters enormously. If it's all T3 pincodes including ones below the viability threshold, then 32% understates actual penetration of viable locations. Make sure you can explain exactly what the denominator is.

"You scraped 31,000+ stores. How accurate is that number? Independent kiranas that carry some branded products could inflate your supply count."

Acknowledge the limitation. Your scrape focused on organised EBO stores — brand-owned or brand-operated outlets with signage and fixed pricing. Multi-brand outlets (MBOs) were tracked separately and treated differently in the model. But yes, there is a definitional grey zone and you should know where you drew the line.

"The 22% of pincodes permanently unviable — how sensitive is that to income growth? At 7% annual MPCE growth, when do they cross the threshold?"

You may not have modelled this. If you haven't, say so and offer to calculate it. The qualitative answer: at 7% real income growth, a pincode at 80% of the threshold today crosses it in roughly 3 years. That's the optionality embedded in the T4+ gray bar.

Unit economics stress test

"T3 stores will be smaller than Metro stores. Have you adjusted revenue per store downward for T3? Or are you applying the same \$1.34M across all tiers?"

If your model applies a flat number, acknowledge that and say tier multipliers in Track 1 adjust for this — Metro gets a 1.3x multiplier and T3 gets a 0.7x. That's baked into the potential store count calculation. Zudio's Track 2 uses the company-level average because we don't have store-level data by tier.

"Zudio's revenue per store was \$198 in FY26, down from \$220 in FY25. Same-store sales are declining. Doesn't that undermine the revenue model?"

The FY25 to FY26 drop may reflect new store dilution — when you open a lot of stores quickly, newer stores take time to mature and drag the average down. The more relevant number is whether like-for-like (same stores, year on year) revenue is growing. If you don't have that data, say so and flag it as a key risk to monitor.

Investment implication questions

"What's the price target? You've built all this analysis but where's the buy or sell recommendation?"

As a summer intern presenting a thematic framework, you are not expected to have a price target — that's a fair boundary to set. But you should be able to say what the key inputs to a valuation would be: store count trajectory, revenue per store evolution, and the multiple the market ascribes to store-count-driven growth. The framework you've built is what populates those inputs.

"What's the bear case? One slide in 24 is not about what could go wrong."

Have this ready. The bear case is: Zudio fails to reorient toward T3 and stays Metro-heavy, ecommerce erodes the value fashion physical market faster than expected, and same-store sales continue declining as new store dilution compounds. On top of that, Reliance enters value fashion more aggressively. None of these individually breaks the market thesis — but together they could delay the investment case by years.

"If this opportunity is so large, why isn't it already fully priced in?"

This is a great question. Your answer: because most analysis is top-down — it takes a national market size number and divides by assumptions. Nobody has done the pincode-level supply-demand match that shows exactly where the white space sits and how large it is by location. That's what makes this framework different from what's already in the market.

The one you won't see coming

"You mentioned T4+ has \$96 billion in spending and you've excluded it. But that's the largest single pool of unaddressed money in your entire analysis. At what point does T4+ become the story?"

This is the best question in the room. Your answer: T4+ becomes viable when two things happen — incomes cross the EBO threshold, and a brand builds enough store density in a geography to justify the supply chain. That's probably a 5 to 10 year horizon at current income growth rates. The \$96B number is the long-term optionality, not the current investment case. What's exciting is that whoever owns T2/T3 by the time T4+ opens up will have the distribution relationships, the brand awareness, and the supply chain already built. The T2/T3 land grab today is also the T4+ positioning play for tomorrow.